

ENTERPRISE BUSINESS MOTIVATION MODEL

Shared Terms Across Viewpoints

The following terms are shared across more than one viewpoint. Placing them within a single viewpoint is therefore a bit problematic. For the sake of this list, I've grouped these together. In most organizations, every EA should be comfortable communicating in these terms.

Business Capability

A business capability is an abstraction that represents the ability of a business unit to perform a particular business function or process. Used primarily for analysis and model navigation, this abstraction is normally considered to be a composition of processes, people, tools, and information.

Business Goal

A Goal is a statement about a state or condition of the enterprise to be brought about or sustained through appropriate Means. A Goal *amplifies* a Vision – that is, it indicates what must be satisfied on a continuing basis to effectively attain the Vision. (Derived from OMG Business Motivation Model 1.0)

Business Model

A business model is a composition of business elements that represents the value proposition, products, customer demands, competencies, partnerships and distribution channels that a business will employ in order to deliver value.

Business Process

A business process is a collection of activities that take one or more inputs and transform them into process outputs in support of a desired business outcome that is of value to customers and/or partners. A business outcome may include a product, service, transaction, agreement, report, plan or strategy etc, and may benefit customers, suppliers, regulators, owners, clients or partners.

Business Scorecard

A management tool, usually presented as a report, that illustrates a set of carefully chosen metrics designed to provide useful feedback on the health and alignment of the enterprise. One type of business scorecard is a “Balanced Scorecard,” referring to a concept developed by Drs. Robert Kaplan (Harvard Business School) and David Norton.

Charter

A charter is a legal document that defines controlling elements of the business model including relationships, products, services, customer types, and locations. The charter language for government agencies appears in one or more specific pieces of legislation.

Company

A legal entity chartered to perform business activities. The hierarchy of business units roll up to a company. This is distinct from an enterprise that may involve the activities of many companies.

Customer

A specific person or organization that has purchased the products and/or services of the enterprise. In some organizations, the definition of “customer” is more expansive to include people and organizations that are desired or targeted prospects.

Business Strategy

Strategy is a complex set of related statements used to motivate the creation of projects, the setting of goals, and the achievement of objectives by employees and partners of an enterprise in support of a business goal. It is not a course of action in itself, but instead provides the general outlines of a course of action sufficient to drive specific changes in business operations. Strategies are defined in terms of objectives and executed through initiatives.

Driving Stakeholder

A “driving stakeholder” is a person within an organization that owns accountability for a business strategy or objective. This person is a stakeholder to a business strategy but may also be the source of that strategy and is clearly a driving force in insuring that it comes about.

Enterprise

In the context of Enterprise Architecture, an enterprise is a structure composed of one or more collaborating organizations, created for a shared purpose and bound by common management and/or ownership. An enterprise usually has a single name but may contain many business models, each of which drive the demand for the existence of various business units.

Governance Body

A governance body is an empowered group of individuals, within an enterprise, with the right to make decisions about the policies, efforts, and/or business rules of an enterprise function, capability, or process. Governance bodies are typically chartered in a formal manner with specific responsibilities.

Influencer

An Influencer is anything external to the business that has the potential for affecting the ability of the organization to fulfil its business model. An influencer exists independently of the organization. Its influence may be directed at the organization (as in the case of a court of law adjudicating a lawsuit in which the organization is a plaintiff) or indirect (as in the case of a business trend that affects how customers view the products of the organization). Indirect influencers do not normally refer to the organization by name.

Key Performance Indicator

A high-level metric which reflects a process or characteristic that is typically measured on a business leader's scorecard.

Mission

A written declaration of an organization's core purpose and focus that normally remains unchanged over time. Properly crafted mission statements (1) serve as filters to separate what is

important from what is not, (2) clearly state the common threads that bind the business models, and (3) communicate a sense of intended direction to the entire organization.

Derived from BusinessDictionary.com

Outcome / Benefit

An Outcomes is the Effect of an Action that is important in a Strategy, Initiative, or Scorecard. (OMG BAWG). An initiative creates a discrete set of proposed changes, each of which maps to one or more outcome. Outcomes are measured, and usually appear as part of a business case. This term is a synonym for the term “benefit” as used in a Benefits Dependency Network.

Principle

A principle is any statement that is thought, by senior leadership, to be useful guidance for the organization to consider when making business decisions.

Process Metric

A measurement collected during the operation of a business process. Setting a baseline measurement and then tracking the metric over time, with stimulation by both anticipated and surprise events, provides a mechanism for alerting the operational management teams of problems that may arise or have arisen and which may affect a key performance indicator. Normally, a KPI is a type of process metric selected for its relationship to the value chain.

Project

A project can be defined as a temporary endeavour undertaken to create a unique product or service. (Source PMI)

Proposed Change

A specific proposed change to the business that occurs through the mechanism of a business initiative. The business change should be framed in terms of the effect that it will have on the maturity of a business unit capability.

Regulation

A regulation is a requirement placed on the organization by a legislative or regulatory body. This is not an influencer in the sense that an organization does not have the right to ignore the regulation. That said, the organization is not “governed” by the regulation directly, but by business policies aligned to comply with the regulation.

Success Metric / Measure

A success metric is a measurable value or range of values that a key performance indicator may fall into. It that describes, in quantifiable terms, the successful outcome of a strategy or business initiative.

Vision

A vision is a statement or compound group of statements that describes the desired state of success for an enterprise. It is often described from the viewpoint of the customers or stakeholders.

MENU

Using the EBMM

License to use the model

APM

EA Ontology

Glossary – Process and Methods

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IT Architecture

Enterprise Strategy

Business Model Assessment

Business Model

Business Rules

Business Unit

Information Management

Service Management

Value Chain

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